

NANDAN DAVE

MAKING THE RIGHT WAVES

- India's economy remains among the most robust in the world because of the way Modi handled the darkness of the Covid-19 pandemic
- PM listed the naval aircraft carrier INS Vikrant as a marker of the country's manufacturing prowess
- Populations at the bottom of the pyramid are feeling left out. Modi touched on this theme as he accepted India's G20 presidency
- Signals are that the next Union budget will focus on imparting a massive boost to domestic consumption
- The trade deals struck with the UAE and Australia go towards adding some vitality to the global economy
- Progress in the expansion of capacities for capital goods in sectors such as space, drones and defence

adding some vitality to the global economy at a time when bilateral amity is not particularly evident anywhere. The neutrality he manages to bring even on the Ukraine-Russia conflict also stems from that. The Australia-India Economic Cooperation and Trade Agreement (ECTA), which comes into operation as the new year rolls in, is aimed at providing duty-free access to Indian exporters from over 6,000 broad sectors—including textiles, leather, furniture, jewellery and machinery. And the Indian-UAE Comprehensive Economic Partnership Agreement (CEPA) brought the tariff lines to zero for 99 per cent exports to the emirates. The next year is likely to see movement on similar deals with the European Union, the US and Canada.

Back on the domestic front, China remains a worry—with the Tawang intrusion being the latest flashpoint—but Modi's hand has again striven for conflict resolution rather than aggravation. This does not in any way reduce the focus accorded to national security, one of the BJP's pet themes. In his radio address, Modi listed the naval aircraft carrier *INS Vikrant*—commissioned in September—as a marker of India's manufacturing prowess. The year also saw expansion of capacities for capital goods in sectors such as space, drones and defence. The imperative of meeting India's defence needs is thus being creatively dovetailed with economics. His penchant for making bold reform moves was again in evidence with the Agniveer scheme—a brave idea whose time had come. As much as 53 per cent of the defence budget was going towards paying salaries and pensions—and capital expenditure for new equipment and infrastructure had shrunk to 27.4 per cent. Seeking to amend this endemic budgetary tightness, while creating a dynamic, rejuvenated force, aligns two virtues.

His efforts faced some headwinds owing to the Russia-Ukraine war—on the energy front, the situation is complex globally. India too went through a critical period, with many cities facing blackouts last summer. This makes his job in 2023 tougher as he has to strengthen domestic demand while bolstering the infrastructure to support it. These are difficult times to master, both in terms of the economy and geopolitics. How he handles the challenges will define 2023. ■